Is this the best risk adjusted return on BTC? — letsgetonchain (@letsgetonchain)

Source: https://x.com/letsgetonchain/status/2072659542194688441 · Thread posted 2026-07-02 · Archived 2026-07-02

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Is this the best risk adjusted return on BTC?

1y realized: >11%
30d trailing APY: 16%

How? DEX liquidity provision WBTC <-> cbBTC

Still some capacity left!

Let's have a look at how this works ⬇️
[chart: cumulative returns, two bumps in Feb 2026]

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The strategy loops WBTC <-> cbBTC smart collateral against WBTC <-> cbBTC smart debt on @0xfluid.

BTC borrow demand is low, so the gap between supply and borrow APY is small, averaging around -0.20%.

This means a trading fee APY of around ~0.1% offsets that bleed (you earn on both the collateral and the debt)

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The good news: trading fee APY on WBTC <-> cbBTC has averaged ~0.7% over the last 12 months (see yellow bars below).

Full breakdown in the carry trades section on @credditxyz, where you can analyze

the sustainability of various looping strategies.
[chart: trading-fee APY yellow bars]

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Liquidation risk is minimal here, even at very high leverage.

Both WBTC and cbBTC are marked as 1 BTC by the oracle, so a temporary secondary market depeg never touches the oracle input (see the oracle section on @credditxyz).

The only real risk: a spike in BTC borrow rates on Fluid.

This happened in February this year (the two bumps in the cumulative returns chart in the first tweet). Back then, smart debt shifted to cbBTC only, spiking cbBTC utilization.

Tighter borrow caps have since been set on this vault, so the risk of a repeat is much lower today.

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Another nice element: looping strategies usually carry large entry and exit costs, since the amount swapped is large relative to the equity supplied.

Here those costs are close to zero because you borrow the dex pool shares in the prevailing ratio making short holding periods feasible.

Simulate your costs for any loop on @credditxyz.
[trade calculator: 18.3x leverage, Net APY +15.23%, 30-day hold]

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This one really highlights the insane capital efficiency smart collateral and smart debt enable.

For comparison supplying that pair on Uniswap yields less than 2% APY but

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Uniswap holds more than $25m of BTC TVL in these pools.

Fluid holds less than $10m (and could hold even less if LPs used more leverage).

Yet it generated more than half of yesterday's WBTC <-> cbBTC volume on Ethereum.

lito @litocoen · reply

ffs you just made me deposit now you re diluting my yield